

Module 8

Principles of Auditing

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

The directors of APL may appoint the first auditor of APL at any time before the first annual general meeting.

If the directors have not done so, members of APL may, by a resolution passed at a general meeting, appoint the first auditor of APL.

If both the directors and members of APL have not done so, the Court may, on application by a member of APL, appoint the first auditor of APL.

Answer 1(b)

The overall objectives of the auditor in conducting a financial statement audit are

- To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and
- To report on the financial statements and communicate as required by the Hong Kong Standards on Auditing, in accordance with the auditor's findings.

Answer 1(c)

The key rights of the auditor in carrying out a financial statement audit in Hong Kong are

- To attend any of the company's general meetings; and
- To be heard, at any of the company's general meetings, on any part of the business of the meeting that concerns the person as auditor of the company;
- To access the company's accounting records; and
- To obtain information and explanation that the auditor reasonably requires for the performance of the duties as auditor of the company.

Answer 1(d)

The Professional Accountants Ordinance (Cap 50)

The Accounting and Financial Reporting Council Ordinance (Cap 588)

Answer 2(a)

The other two phases are

- Risk responses, including obtain audit evidence (or execution).
- Completing of the audit and preparation of the auditor's report.

Answer 2(b)

An overall audit strategy sets the scope, timing and direction of the audit, and that guides the development of the audit plan. From the audit strategy, a more detailed audit plan is developed that sets out the procedures to be carried out in the audit and other matters such as time cost and budget, and reporting deadline.

Answer 2(c)

The four key matters are

- Identify the characteristics of the engagement that define its scope.
- Ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required.
- Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts.
- Consider the results of preliminary engagement activities and, where applicable, whether knowledge gained on other engagements performed by the engagement partner for the entity is relevant.
- Ascertain the nature, timing and extent of resources necessary to perform the engagement.

Answer 2(d)

Risk assessment procedures – The audit procedures designed and performed to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels.

Answer 2(e)

The other two categories of audit procedures are

- Tests of controls; and
- Substantive procedures.

Answer 2(f)

The other three common risk assessment procedures are

- Analytical procedures
- Observation
- Inspection

Answer 3(a)

The inventory of FL is computer hardware which has a short shelf life and can become obsolete quickly. The key audit risk of the inventory of FL is overstatement of inventory, and hence overstatement of the profit or understatement of the loss of the company.

Answer 3(b)

The three assertions at a higher risk of material misstatements are

- Existence
- Rights and Obligations/ Rights
- Accuracy, Valuation and Allocation

Answer 3(c)

The audit procedures to ensure the year end inventories of FL are stated at the lower of cost and net realisable value are as follows:

- (1) Enquire management about their process for identifying and writing down obsolete or slow-moving inventory.
- (2) Enquire management about any significant changes in the market that could affect the net realisable value of the inventory.
- (3) Analyse the inventory turnover ratio to identify slow-moving items which may need to be written down to their net realisable value.
- (4) Select a sample of inventory items from the list of inventory items and vouch to suppliers' invoices to determine the cost.
- (5) Refer to the physical stock count and stock records to identify indication of any slow-moving or obsolete inventories which should be reduced to net realisable value.
- (6) Compare inventory items at the year end with those from the previous year to identify items which have not moved and may need to be written down to their net realisable value.
- (7) Compare inventory items at the year end with actual sales prices and order prices after the year end to determine the net realisable value.
- (8) Other relevant audit procedure.

Answer 3(d)

The audit procedures I should carry out on the accounts receivable as at 31 December 2024 before selecting samples from the list of accounts receivable to perform debtor circularization are as follows:

- (1) Agree the opening balance in general ledger accounts for accounts receivable and related allowance to last year's working paper.

This is to ensure the opening balance is correctly brought forward.

- (2) Check the total and extension of the list of accounts receivable provided by FL.

This is to ensure the mathematical accuracy of the list of accounts receivable.

- (3) Agree the total of the list of accounts receivable to the account receivable control account balance in the general ledger as at 31 December 2024.

This is to ensure the total of the list of accounts receivable agrees with the general ledger.

- (4) Select a sample of accounts receivable from the list of accounts receivable and agree to the accounts receivable subsidiary ledger.

This is to ensure the existence of the accounts receivable in the list and the accuracy of the individual accounts receivable balance in the list.

- (5) Select a sample of accounts receivable from the accounts receivable subsidiary ledger and agree to the list of accounts receivable.

This is to ensure the completeness of the accounts receivable in the list and the accuracy of the individual accounts receivable balance in the list.

- (6) Review entries in general ledger accounts for accounts receivable and related allowance.

This is to identify entries that appear unusual in amount or source for further investigation.

Answer 4(a)

The objectives of carrying out review of events occurring between the date of the financial statements and the date of the auditor's report are to obtain sufficient appropriate audit evidence about whether events occurring in such a period that require adjustment of, or disclosure in, the financial statements are appropriately reflected in those financial statements in accordance with the applicable financial reporting framework.

Answer 4(b)

The four audit procedures are:

- Obtaining an understanding of any procedures management has established to ensure that subsequent events are identified.

Inquiring of management and, where appropriate, those charged with governance as to whether any subsequent events have occurred which might affect the financial statements.

- Reading minutes, if any, of the meetings of the entity's owners, management and those charged with governance that have been held after the date of the financial statements and inquiring about matters discussed at any such meetings for which minutes are not yet available.
- Reading the entity's latest subsequent interim financial statements, if any.
- Reading the entity's budgets, cash flow forecasts and other related management reports, as considered necessary and appropriate.
- Enquiry of entity's lawyers about any uncertainties arising from legal matters.

Answer 4(c)

An emphasis of matter paragraph is a paragraph included in the auditor's report that refers to a matter appropriately presented or disclosed in the financial statements that, in the auditor's judgment, is of such importance that it is fundamental to users' understanding of the financial statements.

An other matter paragraph is a paragraph included in the auditor's report that refers to a matter other than those presented or disclosed in the financial statements that, in the auditor's judgment, is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report.

Answer 4(d)(i)

Given that management has agreed to disclose the loss caused by the flooding and landslides in the financial statements and I agree with this, an unmodified opinion will be issued.

However, given the matter disclosed is important to the users of the financial statements, "an emphasis of matter"/ "material uncertainty related to going concern" paragraph will be included in the auditors' report to draw the attention of the users of the financial statements.

Answer 4(d)(ii)

Management is not willing to provide adequate information regarding the loss caused by the flooding and landslides and the auditor cannot obtain sufficient and appropriate evidence by alternative audit procedures. This is a limitation on the scope of the audit.

If loss caused by the flooding and landslides is considered material but not pervasive, a qualified opinion should be issued.

If the loss is considered material and pervasive, a disclaimer of opinion should be issued. The basis for qualified opinion or the basis for disclaimer of opinion, as appropriate, should include an explanation of the reason of issuing a qualified opinion or a disclaimer of opinion, as appropriate.

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